

ADMAS UNIVERSITY
MEKANISA CAMPUS
FACULTY OF BUSINESS
DEPARTMENT OF ACCOUNTING AND FINANCE



MODEL EXIT EXAM VII CODE MK-007

- This Exam Booklet contains 100 MCQ under Five thematic areas, as the detail shown below

DISTRIBUTIONS OF QUESTIONS		
THEMATIC AREAS	COURSES INCLUDED	NUMBER OF QUESTIONS
1. FINANCIAL ACCOUNTING AND REPORTING	<i>Fundamentals of Accounting I</i>	8
	<i>Fundamentals of Accounting II</i>	8
	<i>Intermediate Financial Accounting I</i>	8
	<i>Intermediate Financial Accounting II</i>	7
	<i>Advanced Financial Accounting I</i>	6
	<i>Advanced Financial Accounting II</i>	6
SUB TOTAL		43
2. COST AND MANAGERIAL ACCOUNTING	<i>Cost & Management Accounting I</i>	6
	<i>Cost & Management Accounting II</i>	6
SUB TOTAL		12
3. FINANCE AND INVESTMENT	<i>Financial management I</i>	6
	<i>Financial management I</i>	6
	<i>Financial Institution and Market</i>	7
SUB TOTAL		19
4. AUDITING AND ASSURANCE SERVICES	<i>Auditing Principles & Practices I</i>	6
	<i>Auditing Principles & Practices II</i>	6
SUB TOTAL		12
5. PUBLIC FINANCE AND PUBLIC SECTOR ACCOUNTING	<i>Public Finance and Taxation</i>	6
	<i>Accounting for public Sector & civil societies</i>	8
SUB TOTAL		14
GRAND TOTAL		100

Multiple Choice Items

Instruction: Read the questions and choose the right answer from the given choices and write the letter of your choice on the separate answer sheet provided.

Part I: FINANCIAL ACCOUNTING AND REPORTING

1. What is the maturity value of a 90-day, 12% note for \$10,000?
A. \$8,800 B. \$10,000 C. \$10,300 D. \$11,200
2. What is the due date of a \$12,000, 90-day, 8% note receivable dated August 5?
A. October 31 B. November 3 C. November 2 D. November 4
3. In preparing bank reconciliation, the amount of checks outstanding would be:
A. Added to the cash balance according to the bank statement.
B. Deducted from the cash balance according to the bank statement.
C. Added to the cash balance according to the depositor's records.
D. Deducted from the cash balance according to the depositor's records.
4. A profit-making business operating as a separate legal entity and in which ownership is divided into shares of stock is known as a:
A. Proprietorship C. partnership
B. service business D. corporation
5. In periods of rising prices, LIFO will produce:
A. Higher net income than FIFO. C. Lower net income than FIFO.
B. The same net income as FIFO. D. Higher net income than average costing.
6. of the following items represents a deferral
A. Prepaid insurance C. Wages payable
B. Fees earned D. Accumulated depreciation
7. If the supplies account, before adjustment on May 31, indicated a balance of \$2,250, and supplies on hand at May 31 totaled \$950, the adjusting entry would be:
A. debit Supplies, \$950; credit Supplies Expense, \$950.
B. debit Supplies, \$1,300; credit Supplies Expense, \$1,300.
C. debit Supplies Expense, \$950; credit Supplies, \$950.
D. debit Supplies Expense, \$1,300; credit Supplies, \$1,300.
8. Net loss will result during the time period
A. When assets exceed revenues C. When expenses exceed revenues
B. When revenues exceed expenses D. When assets exceed liabilities
9. Debit signifies
A. Decrease to liability C. Increase to an asset
B. Left-hand side amount column D. all of the above
10. The balance in unearned rent at the end of period represents
A. an asset B. a liability C. a revenue D. an expense
11. The controlling account in the general ledger that summarizes the debits and individual customers in the subsidiary ledger is entitled
A. Accounts payable C. Sales
B. Accounts Receivable D. Purchase

12. which one is a Post closing trial balance account
- A. Sales
 - B. Salary expense
 - C. Accounts Receivable
 - D. Interest expense
13. Accounts and notes receivable are reported in the current assets section of the balance sheet at:
- A. cash (net) realizable value"
 - B. Net book value.
 - C. Lower-of-cost-or-market value.
 - D. Invoice cost.
14. Net sales for the month are \$800,000, and bad debts are expected to be 1.5% of net sales. The company uses the percentage-of-sales basis. If the Allowance for Doubtful Accounts has a credit balance of \$15,000 before adjustment, what is the balance after adjustment?
- A. \$15,000.
 - B. \$27,000.
 - C. \$23,000.
 - D. \$31,000.
15. Jefferson Company purchased a piece of equipment on January 1, 2010. The equipment cost \$60,000 and had an estimated life of 8 years and a salvage value of \$8,000. What was the depreciation expense for the asset for 2011 under the double-declining-balance method?
- A. \$6,500.
 - B. \$11,250.
 - C. \$15,000.
 - D. \$6,562.
16. Maggie Sharrer Company expects to extract 20 million tons of coal from a mine that cost \$12 million. If no salvage value is expected, and 2 million tons are mined and sold in the first year, the entry to record depletion will include a:
- A. Debit to Accumulate Depletion of \$2,000,000.
 - B. Credit to Depletion Expense of \$1,200,000.
 - C. Debit to Depletion Expense of \$1,200,000.
 - D. Credit to Accumulated Depletion of \$2,000,000.
17. Additions to plant assets are:
- A. Revenue expenditures.
 - B. Debited to a Repair Expense account.
 - C. Debited to a Purchases account.
 - D. Capital expenditures.
18. Schopenhauer Company exchanged an old machine, with a book value of \$39,000 and a fair market value of \$35,000, and paid \$10,000 cash for a similar new machine. The transaction has commercial substance. At what amount should the machine acquired in the exchange be recorded on Schopenhauer's books?
- A. \$45,000.
 - B. \$46,000.
 - C. \$49,000.
 - D. \$50,000
19. A petty cash fund is:
- A. Used to pay relatively small amounts.
 - B. Established by estimating the amount of cash needed for disbursements of relatively small amounts during a specified period.
 - C. Reimbursed when the amount of money in the fund is reduced to a predetermined minimum amount.
 - D. All of the above.
20. Journal entries based on the bank reconciliation are required for:
- A. Additions to the cash balance according to the depositor's records.
 - B. Deductions from the cash balance according to the depositor's records.
 - C. Both A and B.

- D. Neither A nor B.
21. If merchandise is sold on account to a customer for \$1,000, terms FOB shipping point, 1/10, n/30, and the seller prepays \$50 in transportation costs, the amount of the discount for early payment would be:
- A. \$0 B. \$10.00 C. \$5.00 D. \$10.50
22. The advantages of a partnership do not include:
- A. Ease of formation. C. Freedom from government regulation.
B. Unlimited liability. D. Ease of decision making.
23. Which of the following is not a major advantage of a corporation?
- A. Separate legal existence. C. Government regulations.
B. Continuous life. D. Transferable ownership rights.
24. One is a component of cash flows from Investing activities except
- A. Sale of equipment C. Sale of land
B. Purchase of land D. Increase in inventory
25. When investment in branch is debited in the home office record:
- A. home office will be debited in the branch account record
B. Shipment to branch credited in the home office account records
C. Home office account credited in the branch record
D. Shipment to branch credited in the home office account records
26. One is not a component of cash flows from operating activities.
- A. Net Income C. Non-Cash Gains
B. Changes in Current Assets D. Notes Payable to Vendors
27. Which one is an odd?
- A. Accounts payable C. Taxes payables
B. Wages payable D. Note payable
28. Assume XYZ company issued a note to 90 days for birr 12,000 note dated on December 31 and the amount of interest is birr 120, then what is the rate of the note?
- A. 14% C. 4%
B. 13% D. 3%
29. Profit or loss on joint venture business is shared by the co-venture
- A. Equally
B. In the agreed upon ratio
C. In the ratio of capital contributed
D. As per salary allowance
30. Which of the following is/are Current Liabilities Having Contractual (Definite) Amount?
- A. Dividend payable
B. Sale tax payable
C. Bonus payable
D. Property tax payable.
31. Identify the correct statement?
- A. If the bonds sell for less than face value, they sell at a premium.
B. If the bonds sell for more than face value, they sell at a discount.

- C. If bonds sell at a discount, the effective yield exceeds the stated rate
D. If bonds sell at a premium, the effective yield is greater than the stated rate
32. Additions to plant assets are:
A. Revenue expenditures.
B. Debited to the Maintenance and Repairs Expense account.
C. Debited to the Purchases account.
D. Capital expenditures.
33. Which of the following is correctly related?
A. IAS 16-----Property, Plant and Equipment
B. IAS38-----Intangible asset
C. IAS 12--- ----Income tax
D. D. All of the above
34. Which of the following is correctly related?
A. Plant asset ---Depletion
B. Fixed asset ---Depreciation
C. Natural resource ---Amortization
D. Intangible asset ---depletion
35. Which depreciation method is un acceptable under international financial reporting
A. Straight line method
B. Double declining balance method
C. Unit of production method
D. Sum year digit method
36. If gain of Br.15,000 is recognized in selling (for cash) office equipment having book value of Br.70,000 the total amount reported in cash flow from investing activities section of statement of cash flow is:
A. Br.15, 000 B. Br.85, 000 C. Br.35,000 D. Br.55, 000
37. If Income Summary has a credit balance after revenues and expenses have been closed into it, the closing entry for Income Summary will include a:
A. debit to the retained earnings account.
B. debit to the owner's dividends account.
C. credit to the retained earnings account.
D. credit to the owner's dividends account.
38. If Income Summary has a credit balance after revenues and expenses have been closed into it, the closing entry for Income Summary will include a:
A. debit to the retained earnings account.
B. debit to the owner's dividends account.
C. credit to the retained earnings account.
D. credit to the owner's dividends account.
39. A credit sale of Br. 800 is made on April 25, terms 2/10, n/30, on which a return of Br. 50 is granted on April 28. What amount is received as payment in full on May 4?
A. Br. 735 C. Br. 800
B. Br. 784 D. Br. 750

40. An aging of a company's accounts receivable indicates that Br. 9,000 is estimated to be uncollectible. If Allowance for Doubtful Accounts has a Br. 1,100 credit balance, the adjustment to record bad debts for the period will require a
- A. debit to Bad Debts Expense for Br. 9,000.
 - B. debit to Allowance for Doubtful Accounts for Br. 7,900.
 - C. debit to Bad Debts Expense for Br. 7,900.
 - D. credit to Allowance for Doubtful Accounts for Br. 9,000.
41. Northstar Co. acquired a registered trademark for Br. 600,000. The trademark has a remaining legal life of five years, but can be renewed every 10 years for a nominal fee. Northstar expects to renew the trademark indefinitely. What amount of amortization expense should Northstar record for the trademark in the current year?
- A. Br. 0
 - B. Br. 15,000
 - C. Br. 40,000
 - D. Br. 120,000
42. Which inventory costing method would a company that wishes to maximize profits in a period of rising prices use?
- A. Weighted average.
 - B. Dollar-value LIFO.
 - C. FIFO
 - D. Moving average.
43. Terri owns a 50 percent interest in the TT Partnership. At the beginning of the year, her basis in her partnership interest was Br. 75,000. The partnership reports a Br. 40,000 loss for the year and distributes Br. 4,000 to Terri. What is her basis in her partnership interest at the end of the year?
- A. Br. 111,000
 - B. Br. 51,000
 - C. Br. 75,000
 - D. Br. 31,000

Part II: COST AND MANAGERIAL ACCOUNTING

44. Which one is the Advantages of Standard Costing
- A. Time consuming
 - B. Obsolescence in fast changing conditions
 - C. Requirement of homogeneity
 - D. It acts as an effective tool for business planning
45. A credit sale of Br. 800 is made on April 25, terms 2/10, n/30, on which a return of Br. 50 is granted on April 28. What amount is received as payment in full on May 4?
- A. Br. 735
 - B. Br. 784
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46. An aging of a company's accounts receivable indicates that Br. 9,000 is estimated to be uncollectible. If Allowance for Doubtful Accounts has a Br. 1,100 credit balance, the adjustment to record bad debts for the period will require a
- A. debit to Bad Debts Expense for Br. 9,000.
 - B. debit to Allowance for Doubtful Accounts for Br. 7,900.
 - C. debit to Bad Debts Expense for Br. 7,900.
 - D. credit to Allowance for Doubtful Accounts for Br. 9,000.
47. Which one of the following is a current liability?

- A. Prepaid Insurance B. Account Receivable C. Unearned Revenue D. Building
48. Which one is a cost that can be eliminated in whole or in part by choosing one alternative over another?
- A. Incremental cost C. Avoidable costs
B. Opportunity costs D. Unavoidable costs
49. Which of the following costs would a computer manufacturer include in manufacturing overhead?
- A. The cost of the disk drives.
B. The wages earned by computer assemblers.
C. The cost of the memory chips.
D. Depreciation on testing equipment.
50. Which budget is developed using budgeted revenues or cost amounts based on the level of output actually achieved in the budget period.
- A. Static budget C. Flexible budget
B. Budgetary control D. Standard costing
51. _____ is developed using budgeted revenues or cost amounts based on the level of output actually achieved in the budget period.
- A. flexible budget C. Static budget
B. Master budget D. Sales budget
52. From the following which cost is doesn't include under the cost of constructing building?
- A. Fees paid to architects, engineers for plans and supervisions,
B. Insurance incurred during construction
C. Interests incurred to finance the construction through borrowing
D. Amount of money that was paid to official in order to finish name change
53. _____ is based on past data relating to product, which is adjusted according to anticipated changes in future
- A. Standard Costs B. Variance analysis C. Estimated Costs D. All
54. Which one is not type of cost classification based on decision making
- A. Differential cost: C. Manufacturing cost
B. Opportunity cost D. Incremental cost
55. Which one of the following is incurred when the demand is greater than supply of materials?
- A. Stock out costs C. Holding cost
B. Opportunity cost D. Ordering cost

Part III: FINANCE AND INVESTMENT

56. One of the following statements about promissory notes is incorrect. The incorrect statement is:
- A. The party making the promise to pay is called the maker.
B. The party to whom payment is to be made is called the payee.
C. A promissory note is not a negotiable instrument.
D. A promissory note is often required from high-risk customers.

57. Preferred stock may have priority over common stock except in:
- A. Dividends.
 - B. Assets in the event of liquidation.
 - C. Cumulative dividend features.
 - D. Voting.
58. The growth in a principal sum representing the fee charged for the use of money for a given time period is,
- A. Interest
 - B. Ordinary Annuity
 - C. Future value
 - D. Interest rate
59. Which one is a component the statements of cash flows
- A. Operating activities
 - B. Investing activities
 - C. Financing activities
 - D. All
60. A bank that originates, underwrites, and distributes new security issues of corporations and government agencies to any potential investors are called;
- A. Central Bank
 - B. Investment Bank
 - C. Commercial Bank
 - D. Development Bank
61. Commercial bank of Ethiopia pays 5.60%, compounded daily (based on 360 days) on a 9-month certificate of deposit. If you deposit Br. 20, 000 you would expect to earn around _____ in interest.
- A. Br.840
 - B. Br. 858
 - C. Br. 1, 032
 - D. Br. 1, 121
62. The development of microfinance in Ethiopia could be viewed as follows, **except**
- A. a shift by the ngo sector and government from relief assistance to sustainable development
 - B. identification of considerable levels of untouched demand and potential market growth for financial services
 - C. greater ability and willingness of government owned and private commercial banks outreach to the rural community
 - D. of the above
63. Which one of the following is a reason for existence of financial intermediaries?
- A. Existence of long term financial instruments
 - B. Problem related to asymmetric information
 - C. The ability to borrow funds directly from savers
 - D. To avoid government regulation in other financial markets
64. Which of the following is not a rationale for regulation of financial institutions and capital markets?
- A. To increase the activities of foreign concerns in domestic markets
 - B. To promote competition and fairness in the trading of financial securities
 - C. To prevent issuers of securities from defrauding investors
 - D. To control the level of economic activities
65. Which financial ratio measures a company's ability to generate profits relative to its equity?
- a) Return on equity

- b) Return on assets
 - c) Working capital ratio
 - d) Debt-to-equity ratio
- 66.** Which of the following is a method of calculating the internal rate of return of an investment?
- a) Net present value
 - b) Payback period
 - c) Discounted cash flow analysis
 - d) All of the above
- 67.** Which of the following is a method of calculating the payback period of an investment?
- a) Net present value
 - b) Internal rate of return
 - c) Discounted cash flow analysis
 - d) All of the above
- 68.** Efficient portfolios can be defined as those portfolios which for a given level of risk provides
- A. Minimum return
 - B. Average return
 - C. Maximum return
 - D. Moderate return
- 69.** Assume you have two stocks; Stocks L and U. The amount that invests in stock L is birr 300,000 and stock U is birr 300,000. Suppose the economy actually enters a recession. In this case, half your money (the half in L) loses 20 percent. The other half (the half in U) gains 30 percent. What is the expected return?
- A. 5% loss
 - B. 5 % profit
 - C. 50% profit
 - D. 50% loss
- 70.** Which of the following leverage is the variability in EPS given a change in EBIT.
- A. Financial Leverage
 - B. Operating leverage
 - C. Combined leverage
 - D. Balance sheet leverage

71. Assume the total current asset and liability of the company is birr 500,000 and birr 300,000 respectively. Then what is gross working capital and net working capital of the company respectively?
- A. Birr 300,000 and birr 500,000
 - B. Birr200,000 and birr300,000
 - C. Birr 500,000 and birr 200,000
 - D. Birr 200,000 and Birr 500,000
72. Assume XY is a corporation companies and paid dividend to shareholder at the end of each year. But in during this year the company does not have sufficient funds to pay cash dividend and paid dividend for each shareholder based on equipment, car, land and other based on number of shares. Which type of dividend the company use?
- A. Cash dividend
 - B. Bond dividend
 - C. Stock dividend
 - D. Property dividend
73. Assume the total outstanding share of ABC Company during this year is 20,000 shares with par value is birr 60 per share. Suppose that ABC Corporation decides to declare a **four for one** stock split, then how many outstanding shares of the company after stock split?
- A. 80,000 shares
 - B. 160,000 shares
 - C. 10,000 shares
 - D. 5,000 shares
74. Assume the total asset of XY company before financial forecasting is birr 400,000, but the total sales of the company are decrease by 7%, and then what is the total asset of the company after decrease sales?
- A. Birr 428,000
 - B. Birr28,000
 - C. Birr 372,000
 - D. Birr 49,000

Part IV: AUDITING AND ASSURANCE SERVICES

75. The audit objective of presenting all transactions and accounts in the financial statements are in fact included is related to which of the PCAOB assertions?
- A. Existence.
 - B. Rights and obligations.
 - C. Completeness.
 - D. Valuation.
76. The second-step in decision process is
- A. Make prediction
 - B. Gather information
 - C. Evaluate their performance
 - D. Choose an alternative
77. One is the step in decision process:
- A. Gather information
 - B. Make prediction
 - C. Evaluate their performance
 - D. All
78. Data must be collected about three facts of each business activity. What are they?
- A. The business activity, the resources it affects and the people who participate
 - B. The business activity, the transactions it creates, the impact on the financial statements
 - C. The inputs, outputs and processes used
 - D. Who is involved, what was sold, how much was paid
79. Accounting information plays major roles in managerial decision making by
- A. identifying situations requiring management action
 - B. reducing uncertainty
 - C. providing a basis for choosing among alternative actions
 - D. All of the above
80. Which one of the following is **not** one of the rules that describe how the three types of entities should relate to one another in an REA data model? Each event is linked to at least
- A. one resource that it affects
 - B. one other event
 - C. two other entities
 - D. two participating agents
81. The audit objective that all balances include items owned by the client is related most closely to which one of the ASB balance assertions?
- A. Existence.
 - B. Rights and obligations.
 - C. Completeness.
 - D. Valuation.
82. Inquiries of warehouse personnel concerning possible obsolete or slow-moving inventory items provide assurance about the PCAOB assertion of
- A. Completeness.
 - B. Existence.
 - C. Presentation.
 - D. Valuation
83. The audit objective that all transactions are recorded in the proper account is related most closely to which one of the ASB transaction assertions?
- A. Occurrence.
 - B. Completeness.
 - C. Accuracy.

D. Classification

84. Inquiries of warehouse personnel concerning possible obsolete or slow-moving inventory items provide assurance about the ASB balance assertion of

- A. Completeness.**
- B. Existence.**
- C. Presentation.**
- D. Valuation**

85. Rights and obligations. In performing an attestation engagement, a CPA typically

- A. Supplies litigation support services.**
- B. Assesses control risk at a low level.**
- C. Expresses a conclusion on an assertion about some type of subject matter.**
- D. Provides management consulting advice.**

86. The audit objective that all transactions are recorded in the proper period is related most closely to which of the Audit Standards Board (ASB) transaction assertions?

- A. Occurrence.**
- B. Completeness.**
- C. Cutoff.**
- D. Accuracy.**

Part V: PUBLIC FINANCE AND PUBLIC SECTOR ACCOUNTING

87. Assume at the beginning of May **FERIHA** Company sold merchandise, for cash. It received Br.2, 000,000 & credited sales account by Br.2, 000,000 the amount include value added tax of 15% on sales. Based on the above data the amount of sale revenue and VAT payable respectively would be:

- | | |
|--|--|
| A. Br.300, 000 and Br.2, 000,000 | C. Br.1, 739,130 and Br.260, 870 |
| B. Br.2, 000, 000 and Br.300, 000 | D. Br.260, 870 and Br.1, 739, 130 |

88. A capital projects fund is a fund to account for

- A. activities in which goods or services are provided to the public for a fee**
- B. construction of highways, bridges, or parks**
- C. principal and interest payments on general long-term debt**
- D. assets held in trust to provide retirement benefits**

89. Which fund has relatively the shortest life span?

- | | |
|------------------------------|---------------------------------|
| A. General Fund | C. Capital Projects Fund |
| B. Pension Trust Fund | D. Internal Service Fund |

90. A fund that accounts the principal and interest payments on general long-term debt is:

- | | |
|-----------------------------|--------------------------|
| A. Agency Fund | C. Permanent Fund |
| B. Debt Service Fund | D. General Fund |

91. Encumbrance accounting is not applicable in:

- A. Debt-service Fund
- B. Capital Projects Fund
- C. Special Revenue Fund
- D. General Fund

92. A proprietary fund is a fund that is used to account

- A. all taxes collected by government
- B. acquisition or construction of long term assets
- C. trust funds held for the benefit of employees
- D. business-type activities of the government

93. One of the following is NOT a proprietary fund?

- A. Internal Service Fund
- B. Enterprise Fund
- C. Investment Fund
- D. A and B

94. Which of the following fund is used to account grants in which the principal must be invested and preserved but the investment earnings can be used for individual beneficiaries?

- A. Private Trust Fund
- B. Permanent Fund
- C. Agency Fund
- D. Investment Trust Fund

95. How much is gross earning?

- A. 17850
- B. 18000
- C. 16950
- D. 17000

96. How much is pension contribution?

- A. 1000
- B. 890
- C. 980
- D. 840

97. Tax payers whose annual turnover is estimated by the Tax Authority at Birr 500,000 or less.

- A. Category **A**
- B. category **C**
- C. Category **B**
- D. category **D**

98. All are books of accounts must contain except

- A. a record of business assets and liabilities including a detailed register of fixed assets
- B. not record of all daily income and expenses
- C. a record of all purchases and sales of goods and services
- D. the particular goods and services sold

99. compensation by the government are

- A. Tax relief
- B. tax return
- C. Tax having
- D. tax base

100. Which of the following is TRUE about an agency fund?

A. Government acts as collecting agent.

C. There are no net assets.

B. No revenue and expense accounts are used

D. All are true

Answer Sheet

1	C	21	B	41	A	61	A	81	B
2	B	22	B	42	C	62	C	82	D
3	B	23	C	43	B	63	B	83	D
4	D	24	D	44	D	64	A	84	D
5	A	25	C	45	A	65	A	85	C
6	A	26	D	46	C	66	D	86	C
7	D	27	D	47	C	67	D	87	D
8	C	28	C	48	B	68	C	88	B
9	D	29	B	49	B	69	B	89	C
10	A	30	D	50	C	70	A	90	B
11	B	31	C	51	A	71	C	91	A
12	A	32	D	52	C	72	D	92	D
13	A	33	D	53	C	73	A	93	C
14	B	34	B	54	C	74	C	94	A
15	B	35	D	55	C	75	C	95	C
16	C	36	B	56	C	76	B	96	C
17	D	37	C	57	D	77	B	97	B
18	A	38	C	58	C	78	A	98	B
19	D	39	A	59	D	79	D	99	A
20	C	40	A	60	B	80	C	100	D